

INTERNAL AUDIT POLICY

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Revision History

#	Version	Release Date	Description of the Change	Created/ Modified by	Approved by
1	1.0	23-Feb-2024	Initial	Kalpana J	Gayathri

Review History

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Internal Audit Policy

1. Purpose

The purpose of the Internal Audit Policy is to provide a framework for ensuring that the organization operates effectively, efficiently, and in compliance with applicable laws, regulations, and best practices. The internal audit function aims to evaluate and improve the effectiveness of risk management, control processes, and governance practices within the organization.

2. Scope

This policy applies to all departments and functions within the organization, including but not limited to:

- Financial Operations
- IT Systems and Security
- Human Resources
- Project Management
- Procurement and Vendor Management
- Compliance with applicable laws and industry standards

The audit will cover the activities of the entire organization, its subsidiaries, and its operations across India and any international branches or projects.

3. Objectives

The objectives of the internal audit function include:

- Assessing effectiveness: Evaluate the effectiveness of internal controls, processes, and systems in place across the organization.

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- Risk management: Identify and assess risks (financial, operational, IT, regulatory, etc.) and recommend mitigation strategies.
- Compliance monitoring: Ensure compliance with applicable laws, regulations, industry standards, and internal policies.
- Operational efficiency: Assess the efficiency and effectiveness of operations and recommend areas for improvement.
- Financial accuracy: Verify the accuracy of financial records, accounting practices, and financial reporting.

4. Governance and Structure

The internal audit function will be under the direct oversight of the Audit Committee (or equivalent body), which reports to the Board of Directors. The internal audit team will operate independently and will have unrestricted access to all levels of management and records of the organization.

Key roles and responsibilities:

- Chief Audit Executive (CAE): The CAE is responsible for the overall management of the internal audit function, including setting the annual audit plan, reporting to the Audit Committee, and ensuring that audits are conducted in accordance with the policy.
- Internal Auditors: Auditors will perform audits in line with the audit plan, document findings, and report results. They are responsible for identifying control weaknesses, suggesting improvements, and following up on corrective actions.
- Audit Committee: The Audit Committee will review audit reports, approve the audit plan, and monitor the implementation of recommendations.

5. Audit Planning

- Annual Audit Plan: The Chief Audit Executive (CAE) will

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prepare an annual audit plan based on risk assessments,
management

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requests, and prior audit findings. The plan will be approved by the Audit Committee.

- Risk-Based Approach: Audits will be prioritized based on a risk assessment that considers financial, operational, and strategic risks. The risk assessment will be updated annually.
- Special Audits: In addition to regular audits, special audits may be conducted based on emerging risks, investigations, or management requests.

6. Audit Process

The internal audit process will be conducted in the following phases:

1. Planning and Scoping: Define the scope, objectives, and approach for the audit.
2. Fieldwork: Collect and analyze data, review records, perform tests, and conduct interviews to evaluate controls and processes.
3. Reporting: Prepare a draft audit report detailing the findings, recommendations, and management responses. The final report will be presented to the Audit Committee.
4. Follow-Up: Follow up on the implementation of corrective actions and improvements identified in previous audits.

7. Audit Methodology

Internal audits will be carried out following professional standards and guidelines, such as the Institute of Internal Auditors (IIA) Standards and applicable Indian Standards. Auditors will use the following methods:

- Document review (financial records, policies, procedures)
- Interviews with key personnel
- Data analysis and sampling
- System walkthroughs and process mapping

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- Observation of activities

8. Reporting and Communication

- Audit Reports: At the conclusion of each audit, a detailed audit report will be prepared and presented to the Audit Committee. This report will include:
 - Audit findings
 - Areas of improvement
 - Action plans for addressing deficiencies
 - Timeline for corrective action
- Management Response: Management will provide a response to the audit findings, including an action plan for resolving any identified issues.

9. Independence and Objectivity

To maintain the integrity and objectivity of the audit process, the internal audit function will:

- Operate independently from other business operations.
- Not be involved in the design, implementation, or operation of the systems, processes, or controls that are subject to audit.
- Maintain objectivity and avoid conflicts of interest.

10. Compliance with Laws and Regulations

Internal auditors will ensure that audits comply with the following:

- The Companies Act, 2013 (for Indian entities) and any amendments
- Indian Accounting Standards (Ind AS)
- Data Protection Laws (such as the Personal Data Protection Bill, when applicable)
- GST and other tax laws

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- IT Act, 2000 and related cybersecurity regulations
- ISO 27001 (for information security audits)

11. Confidentiality

Internal auditors will maintain confidentiality of all information accessed during the audit process. Audit findings, data, and reports will be disclosed only to authorized personnel as determined by the Audit Committee or management.

12. Quality Assurance and Improvement

The internal audit function will be periodically reviewed for quality assurance. The CAE will ensure that the internal audit team undergoes regular training to stay up-to-date with auditing techniques, industry standards, and regulations.

13. Performance Evaluation

The effectiveness of the internal audit function will be evaluated annually by the Audit Committee, taking into consideration:

- Feedback from auditees
- Timeliness and quality of audit reports
- The implementation rate of audit recommendations
- Alignment of audit activities with organizational goals

14. Review and Updates of the Policy

This internal audit policy will be reviewed annually by the Audit Committee, or more frequently if required, to ensure that it remains relevant and aligned with the organization's strategic objectives and regulatory requirements.

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Conclusion

This Internal Audit Policy is designed to ensure that the organization's processes, financial activities, and operations are transparent, compliant, and efficient. The internal audit function will play a key role in helping management identify risks and implement appropriate controls to safeguard the organization's assets and reputation.